

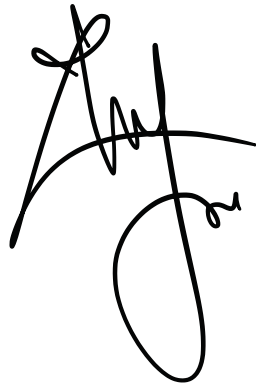
Aslevel economics

Chp:- Demand and Supply

Topic:- Extreme cases of PED

alpphp

Zarale
Mushay

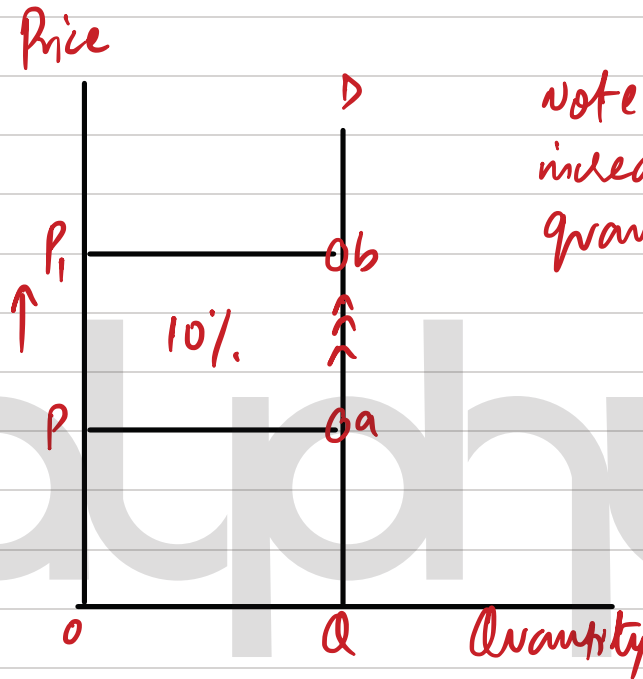
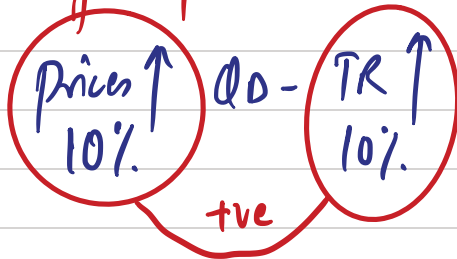
A stylized handwritten signature in black ink, featuring a large loop and a horizontal stroke.

Extreme cases of Price Elasticity of demand

$$PED = 0$$

- No responsiveness
- No substitutes
- Life saving drugs

★ Perfectly inelastic demand



note:- A 10% rise in price will increase total revenue by 10% as quantity remains unchanged.

Note:- In case of perfectly inelastic demand, as there are no substitutes available, a producer will increase the price, which leaves quantity demand unchanged, causing a rise in total revenue.

Note:- In case of perfectly inelastic demand, percentage change in price is equal to percentage change in total revenue (total expenditure), representing positive relationship.

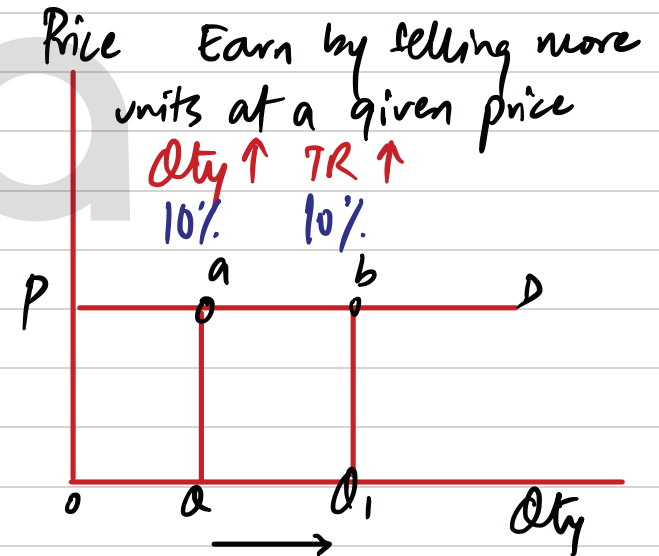
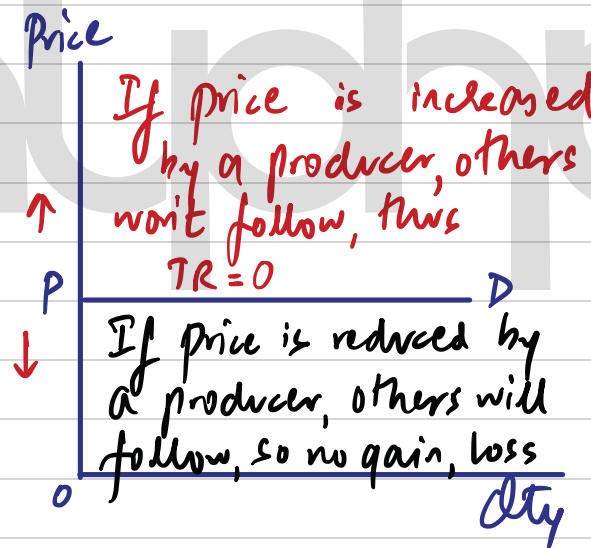
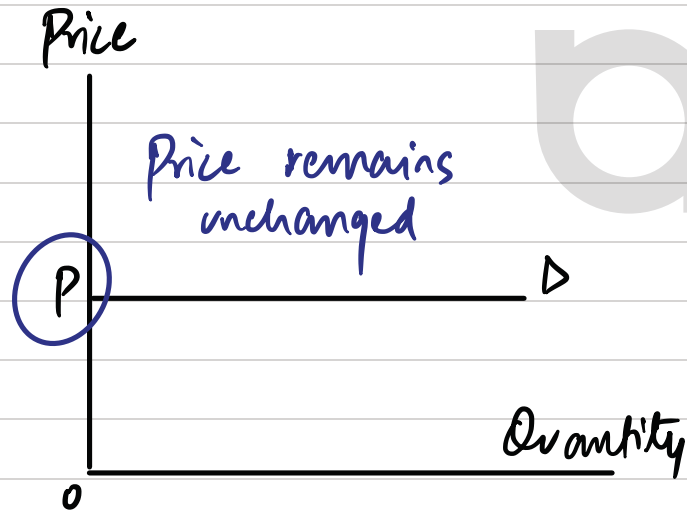
$$PED = \infty$$

→ perfectly elastic demand

- ★ perfect substitutes
- ★ perfect competition
- ★ perfect knowledge

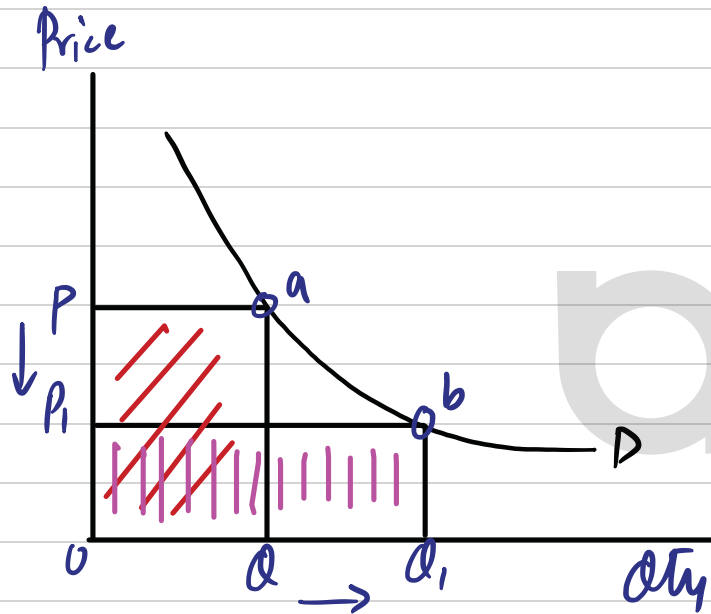
- 1000s of producers
- same / standardized / homogeneous products
- same price
- price taker

Note:- Percentage change in quantity is equal to percentage change in total revenue, representing positive relationship.



Note:- In case of perfectly elastic demand, there are 1000s of producers, producing and selling same product, and the market share is so small that they can't influence the price level, thus known as price taker.

$PED = 1$ → Unitary :- A change in price brings an equal percentage change in quantity demanded. For e.g. a rise in price by 10% will contract the quantity by 10%. Keeping total revenue and total expenditure unchanged.



Old $TR = OPaQ$
New $TR = OP_1bQ_1$

Equal Area
 TR/TE :- unchanged

e.g.

Price	Qty
10	5
5	10

$$TR = P \times Q$$

50

50

TR remains unchanged

You might think it as perfectly inelastic, but see the labelling first



TR/TE remains unchanged, only exists in Unitary demand!

Questions (H.W #6)

Marks:- 18

- Q1 Using a diagram, explain the concept of perfectly inelastic demand? 6
- Q2 Using a diagram, explain the concept of perfectly elastic demand? 6
- Q3 Using a diagram, explain the concept of Unitary demand? 6

Define, Diagram, example, numerical values